to appreciate the qualitative nature of certain companies, compared to the quantitative aspects of others, but he still found himself searching for bargains. "My punishment," he said, "was an education in the economics of short-line farm implementation manufacturers (Dempster Mill Manufacturing), third-place department stores (Hochschild-Kohn), and New England textile manufacturers (Berkshire Hathaway)."[22] Attempting to explain his dilemma, Buffett quoted Keynes: "The difficulty lies not in the new ideas but in escaping from the old ones." Buffett's evolution was delayed, he admitted, because what Graham taught him was so valuable.

In 1984, speaking before students at Columbia University to mark the fiftieth anniversary celebration of *Security Analysis*, Buffett explained that there is a group of successful investors who acknowledge Ben Graham as their common intellectual patriarch.[23] Graham provided the theory of margin of safety, but each student has developed different ways to apply his theory to determine a company's business value. However, the common theme is that they are all searching for some discrepancy between the value of a business and the price of its securities. People who are confused by Buffett's purchases of Coca-Cola and IBM fail to separate theory from methodology. Buffett clearly embraces Graham's margin of safety theory, but he has steadfastly moved away from Graham's methodology. According to Buffett, the last time it was easy to profit from Graham's methodology was the 1973–1974 bear market bottom.

Remember that, when evaluating stocks, Graham did not think about the specifics of the business or the capabilities of management. He limited his research to corporate filings and annual reports. If there was a mathematical probability of making money because the share price was less than the assets of the company, Graham purchased the company. To increase the probability of success, he purchased as many of these statistical equations as possible.

If Graham's teaching were limited to these precepts, Buffett would have little regard for him today. But the margin of safety theory was so profound and so important to Buffett that all other current weaknesses of Graham's methodology can be overlooked. Even today, Buffett continues to embrace Graham's primary idea, the margin of safety. It has been almost 65 years since he first read Ben Graham. Nonetheless, Buffett never hesitates to